



Identity norms and the decision to work

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Project approach

- 1 Motivation

- 2 What we know

- 3 New narrative

- 4 Evidence

- 5 Mechanism

1. Motivation

Stagnating US gains and the current path forward

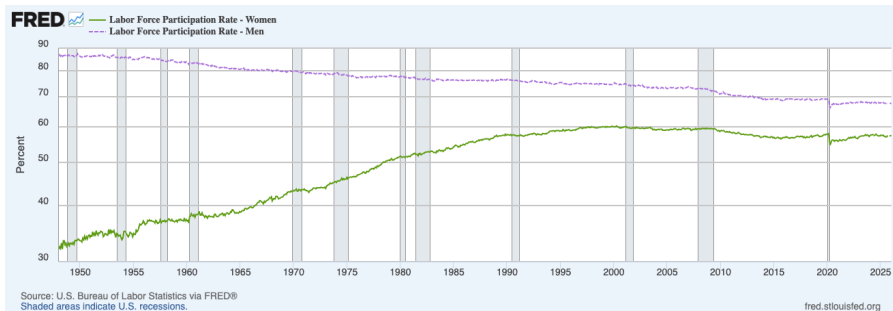
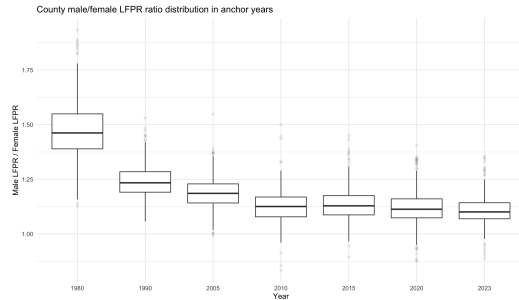
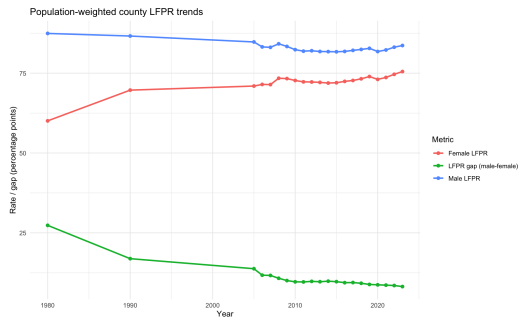


Figure 1: Male and Female LFPR in the long run (US)

Male:female LFPR over time



Labor force participation (US) has been declining

- The gap between female and male labor force participation has been closing since the 1950s in the US
- Gains for women came with increasing legal and regulatory protection (Goldin (1992))
- Overall US labor force participation has been slowly declining in recent years (62% in 2024), with male labor force participation declining both in the US and globally (Saez & Gethin 2026)

Despite long run gains in female labor force participation

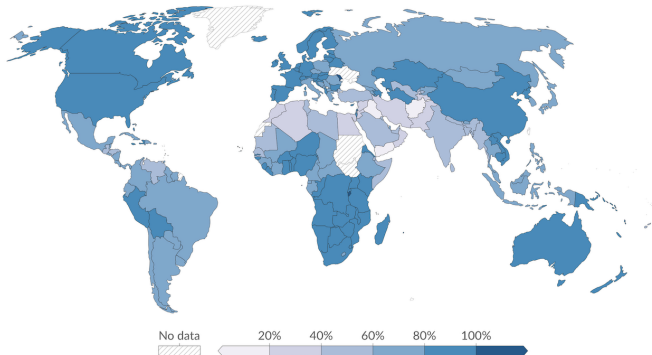
- Female *gains* in employment are largely attributed to a shift on the extensive margin, more women joining the labor force (Saez & Gethin (2026), Ramey & Francis (2009))
- Even with gains there are no examples of countries where womens' intensive or extensive margin exceeds male
- The rise in female labor hours may be attributed to norms (Saez & Gethin (2026)), given the rise in working women was primarily driven by married women (OWID 2025)

Female labor force participation (global)

Ratio of female to male labor force participation rates, 2025

Our World
in Data

This ratio is calculated by dividing the labor force participation rate among women by the corresponding rate for men. The labor force participation rate is the share of the working-age population (ages 15 and over) who are economically active (employed or unemployed).



Data source: ILO Modelled Estimates, via World Bank (2026)

OurWorldinData.org/female-labor-supply | CC BY

Note: All figures correspond to modeled ILO estimates¹. Employment is defined in line with the 13th ICLS² and includes the production of goods for own use, such as subsistence farming.

A bright light is now cast on women's choices

- Women have now exceeding men in a number of economic areas: 47% of young women have a BA/BS, while only 37% of US men do (Pew Research 2024)
- In 22 metro areas, women earn more than men (Pew Research 2022)
- The US fertility rate has hit an all time low at 1.6 births per woman (Johns Hopkins 2026)

Takeaway: womens' economic decisions (and successes) are being both applauded and simultaneously scrutinized

Alarm bells are sounding for low fertility rates

17:29 ft.com

Opinion **Demographics and population**

Why are fertility rates collapsing? Gender roles

A big part of female graduates' decision to have children depends on how they expect their husbands to behave

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FINANCIAL TIMES

Opinion **Demographics and population**

The truth about population decline

Arguments about the dangers of falling fertility deserve much closer scrutiny

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28 %

Gender norms are considered a part of the cause

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United States | Of Homer and home ownership

The decline of single-earner housebuyers in America

A tale of opportunities and costs



IMAGE: GETTY IMAGES

Feb 12th 2026 (updated Feb 18th 2026) · 4 min read

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“THE SIMPSONS” strikes many Americans as unrealistic. Not because the characters are an odd shade

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THE ECONOMIST

The data are intriguing. We grouped a sample of young couples with children between 2010 and 2024 by the husband's earnings. In an imaginary scenario in which women worked purely because they loved working, then how much their husband's income rises. And the drop-off is far sharper in homeownership families than among renters (see chart 2).

In homeownership families where the husband earns around the median wage, nearly 80% of wives work full-time. In the top third, where the husband earns more than \$100,000, this number starts to dip. When his pay hits \$500,000, it falls to around 50%.

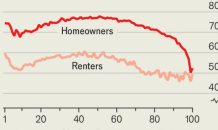
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Who wants to marry a millionaire?

US married couples*, % of wives who work full time, 2010-24



Husband's income percentile	Homeowners (%)	Renters (%)
1 (Poorest)	~75	~55
20	~76	~56
40	~78	~58
60	~75	~55
80	~65	~50
100 (Richest)	~45	~45

*Under 45 years old with children and a working male partner
Sources: Census Bureau; The Economist

THE ECONOMIST

The data are intriguing. We grouped a sample of young couples with children between 2010 and 2024 by the husband's earnings. In an imaginary scenario in which women worked purely because they loved working, then how much their husband made would probably have no effect on whether they kept punching the clock. In the real world, our data show that past a certain point, their full-time

Evidence is building that norms play a role in key economic choices

- ⇒ norms have been neglected in economics, as they can be incompatible with modeling preference cleanly (Lundberg 2025)
- ⇒ gender norms influence Japanese households to shift female labor towards domestic work to minimize household cost (Sakamoto & Kohara 2025)
- ⇒ gender norms are believed to constrain economic growth in developing countries, like a poverty trap (Field et al. 2026)
- ⇒ historical evidence from America's frontier shows the persistence of gender norms in areas that were once homesteader populations (Bazzi et al. 2025)

Gender (male and female) norms may play a role

Margin 1: Extensive While medical advances, relaxation of labor regulations for women, and civil rights protections may have been the institutional support to shatter existing norms around *whether women should work*, today there is still a barrier to how and when women should work.

Margin 2: Intensive I hypothesize a *persistent gender norm on masculinity* has kept women from working *too much*. The expectation for American men is to work and earn more than their spouse, regardless of whether she chooses to work. I would like to formalize this in a macro-labor model.

TABLE II
POTENTIAL RELATIVE INCOME AND WIFE'S LABOR FORCE PARTICIPATION

	(1)	(2)	(3)	(4)	(5)	(6)
	Dependent variable: <i>Wife in the labor force</i>					
<i>PrWifeEarnsMore</i>	-0.178*** [0.004]	-0.142*** [0.004]	-0.139*** [0.004]	-0.143*** [0.004]	-0.148*** [0.005]	-0.152*** [0.005]
Observations		7,384,176			1,375,121	1,375,121
<i>R</i> -squared	0.097	0.103	0.104	0.145	0.087	0.090
Additional controls:						
Cubic in <i>lnHusbIncome</i>	no	yes	yes	yes	yes	yes
<i>lnMedianWifePotential</i> × <i>lnHusbIncome</i>	no	no	yes	yes	no	no
<i>anyChildren</i>	no	no	no	yes	no	no
Wife's demographic group × Husband's demographic group	no	no	no	yes	no	no
<i>PrWifeEarnsMore AtMarriage</i>	no	no	no	no	no	yes
Vigintiles of the wife's and the husband's potential income at marriage	no	no	no	no	no	yes
Marriage duration fixed effects	no	no	no	no	no	yes
Sample restriction	none	none	none	none	2010sub	2010sub

Notes. Data are from the 1970 to 2000 U.S. Census and 2008 to 2011 ACS single-year files. The sample consists of couples where both the wife and the husband are between 18 and 65 years old and the husband is working. The dependent variable *Wife in the labor force* is a binary variable that equals 1 if the wife is in the labor force, 0 otherwise. The key independent variable *PrWifeEarnsMore* is the probability that the wife's income would exceed the husband's if her income were drawn from the distribution of positive earnings in her demographic group. *lnHusbIncome* is the log of husband's income. *lnMedianWifePotential* is the log of the median of the distribution of positive earnings in the wife's demographic group. *anyChildren* is a binary variable that equals 1 if the wife reports having any children, 0 otherwise. *PrWifeEarnsMoreAtMarriage* is the probability that income drawn from the distribution of positive earnings in the wife's demographic group exceeds income drawn from the distribution of positive earnings in the husband's demographic group in the closest census year to the year of their marriage. Marriage duration fixed effects are dummies for the number of years the couple has been married. All regressions include controls for log husband's income, vigintiles of the wife's potential income, wife's and husband's education (five categories), wife's and husband's five-year age group, wife's and husband's race (three categories), year, and state fixed effects. Sample restriction "2010sub" indicates a subsample of ACS where the difference between year of marriage and the closest census year is no more than five years and *PrWifeEarnsMoreAtMarriage* could be computed. Standard errors are reported in brackets. ***significant at 1% level, **at 5%, *at 10%.

GENDER IDENTITY AND RELATIVE INCOME
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2. What we know

Recall the following evidence on a rise in female labor force participation (extensive), adapted from Goldin (1992, 2023):

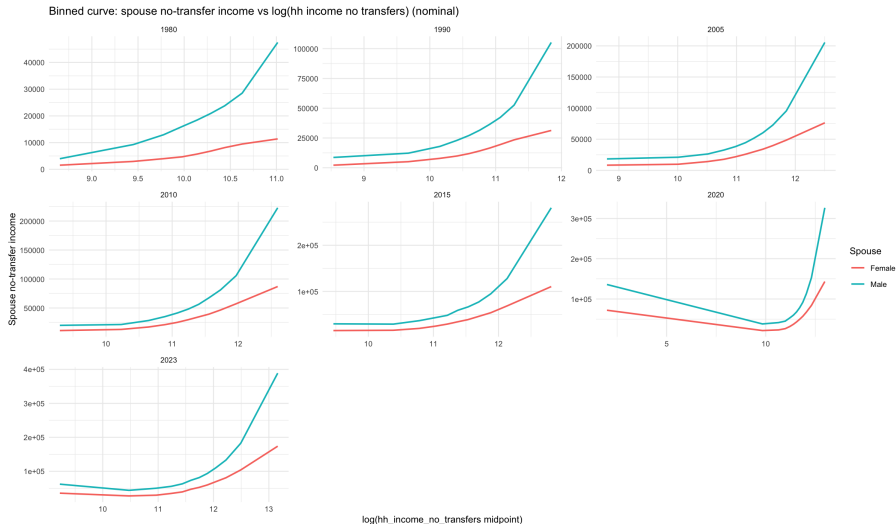
- Development of birth control
- Removal of legislation prohibiting women from teaching and clerical jobs
- Title XI and womens' workplace protections
- Other laws, such as the Equal Pay Act and Civil Rights Act
- Rising access to education and the mainstreaming of the dual-income household

3. New narrative

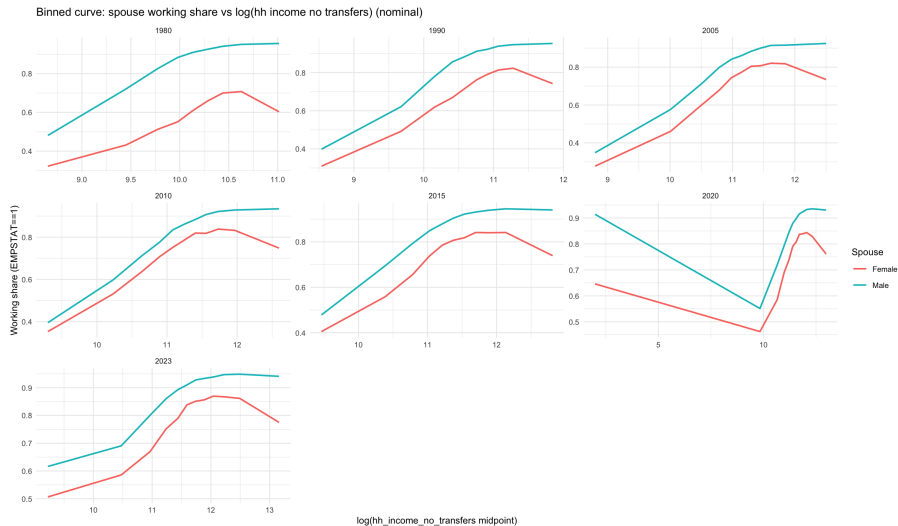
1. Women gained exposure to work to fulfill a *patriotic duty* under WWII
2. Women returned home to have kids under booming economic conditions (rising GDP, low inequality, government encouragement of home ownerships¹)
3. Opportunity cost of having children rises due to institutional transformations and feminist norms outlined by Goldin (2023)
4. Fertility declines from 4 births to 2 births between 1960 and 1970
5. 1980s onward: rising inequality, wealth accrual, higher female LFP, and stalling economic mobility of Americans
6. Matching frictions arise between female and male expectations for work and home life due to declining male LFP, possibly job scarcity in gender-aligned fields for men
7. Today: spatial and household-level divergence in female LFP, with aggregate LFPR (and particularly hours worked) remaining low due to unmet/more visible male gender norms

¹for white GIs and families
March 4, 2026

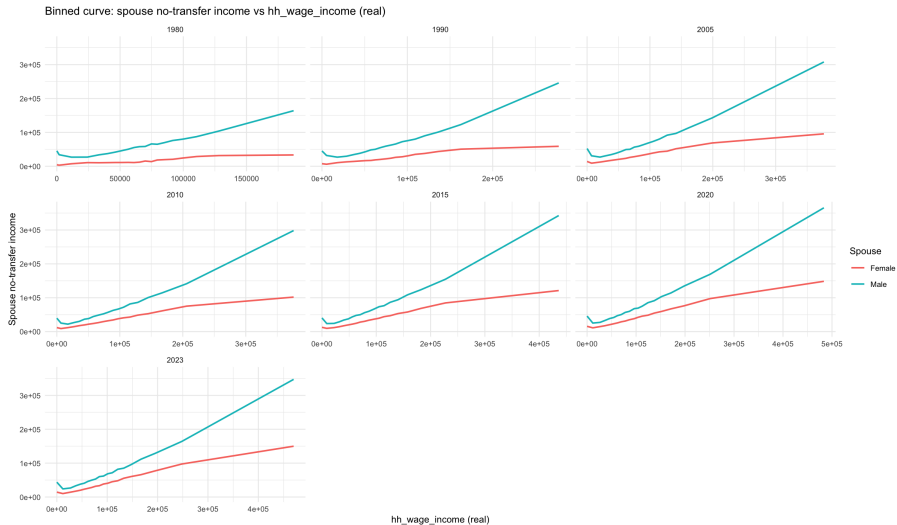
Data: Spousal income vs. $\log(\text{HH income})$



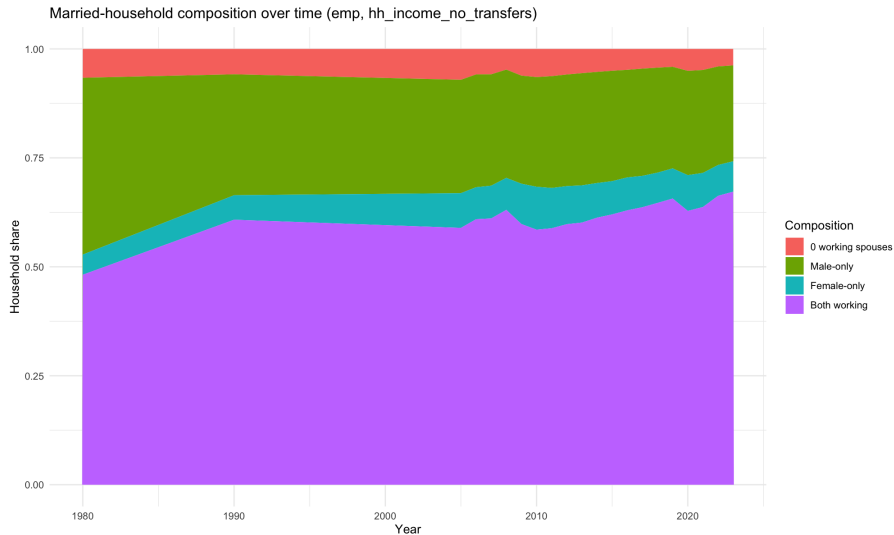
Data: Spousal work share (%) vs. log(HH income)



Data: Spousal income vs. log(HH wage income)



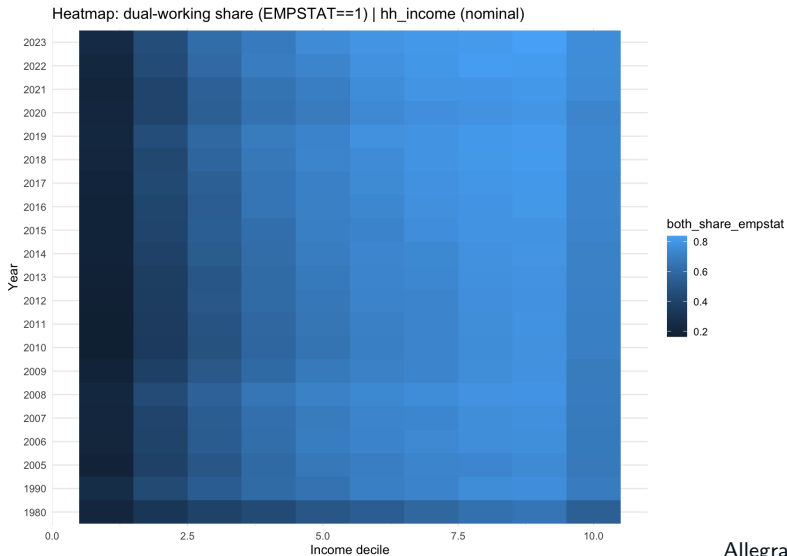
Data: Household composition by working adult



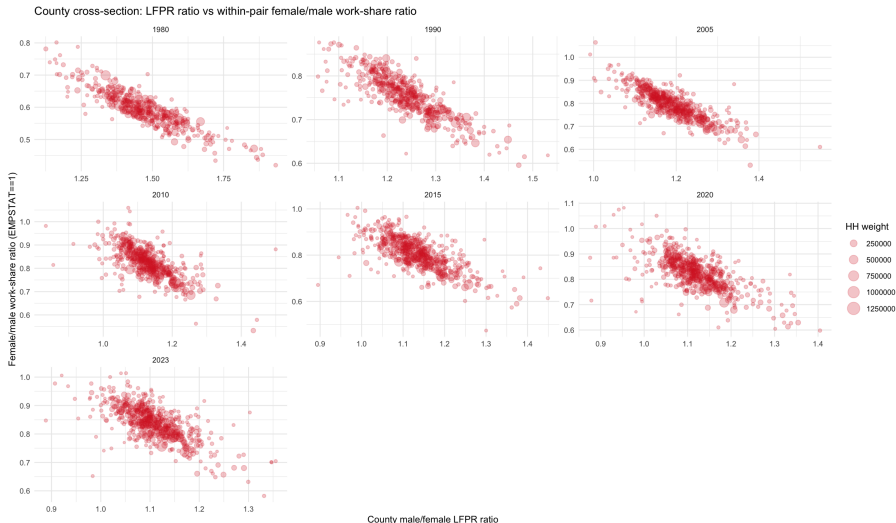
Data: Household composition over time



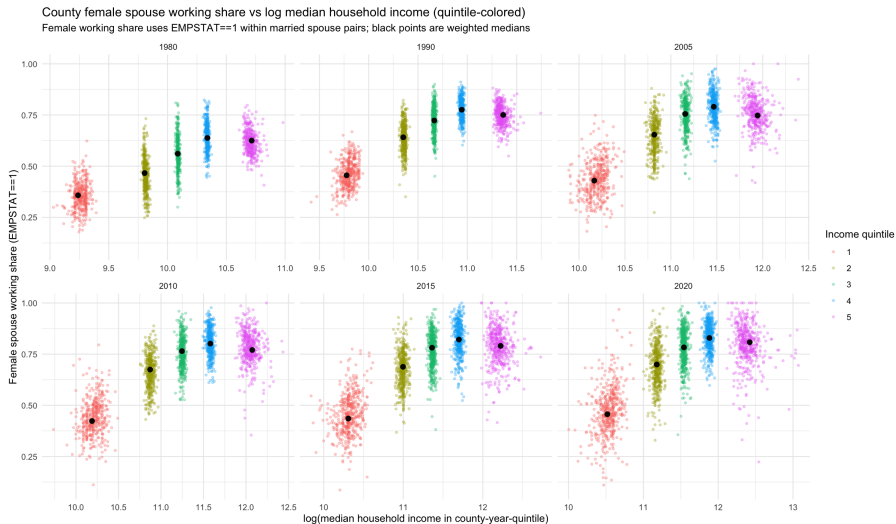
Data: Share of dual-income households by HH income



Data: Share of women working vs. male:female LFPR ratio



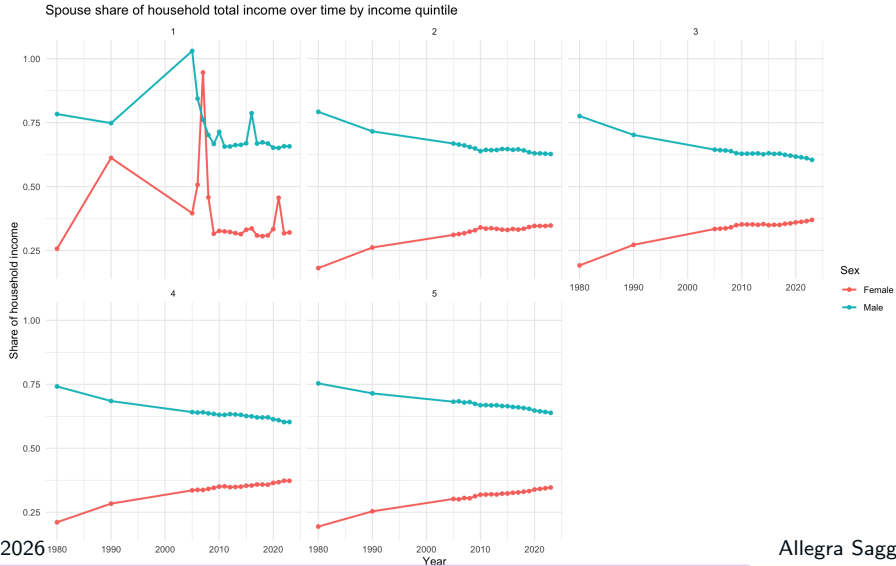
Data: Share of women working vs. log(median HH income)



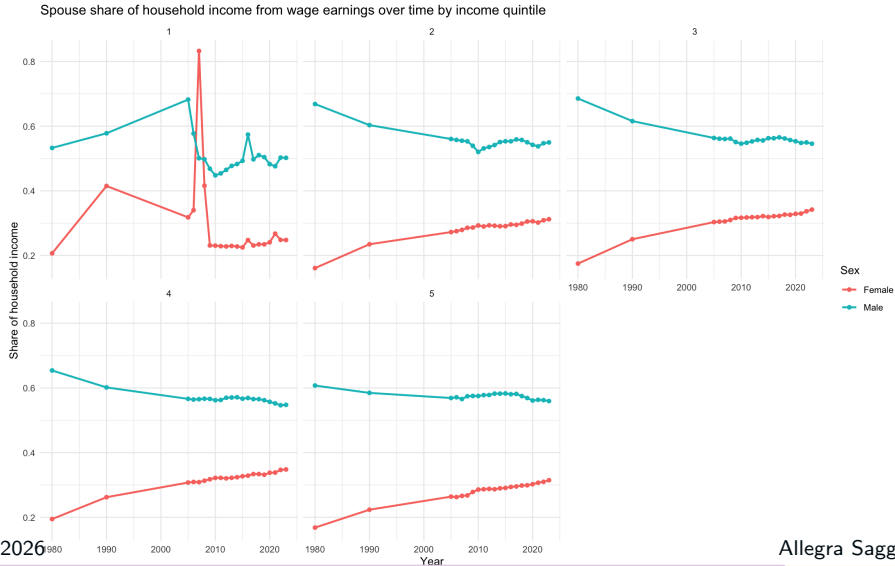
Data: Male, female income vs. total HH income



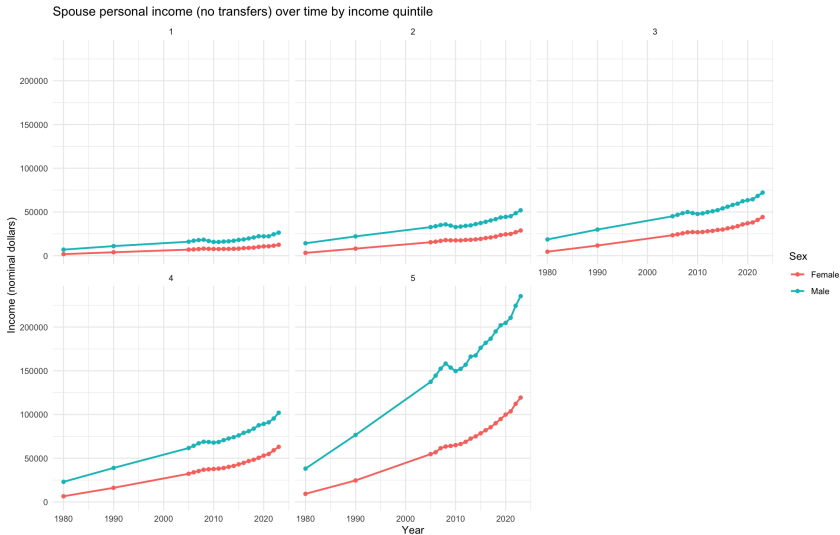
Data: Share (%) of spousal contribution to HH income



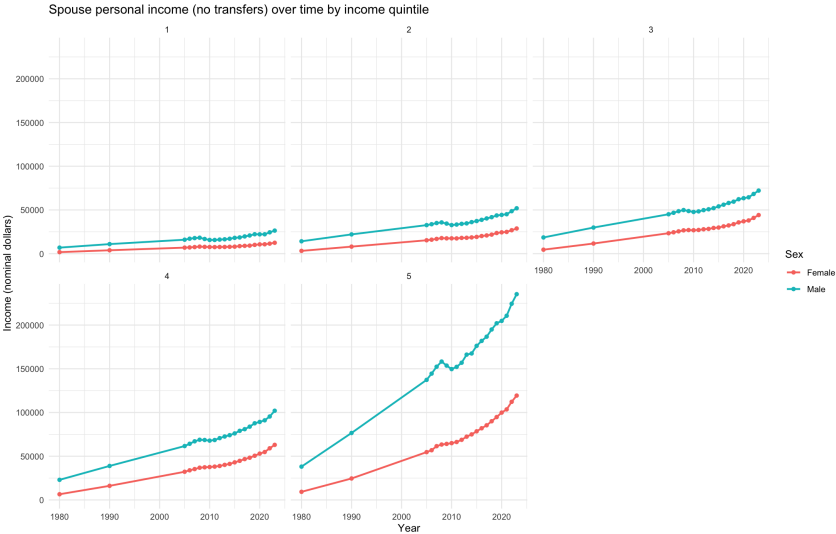
Data: Share (%) of spousal contribution to HH wage income



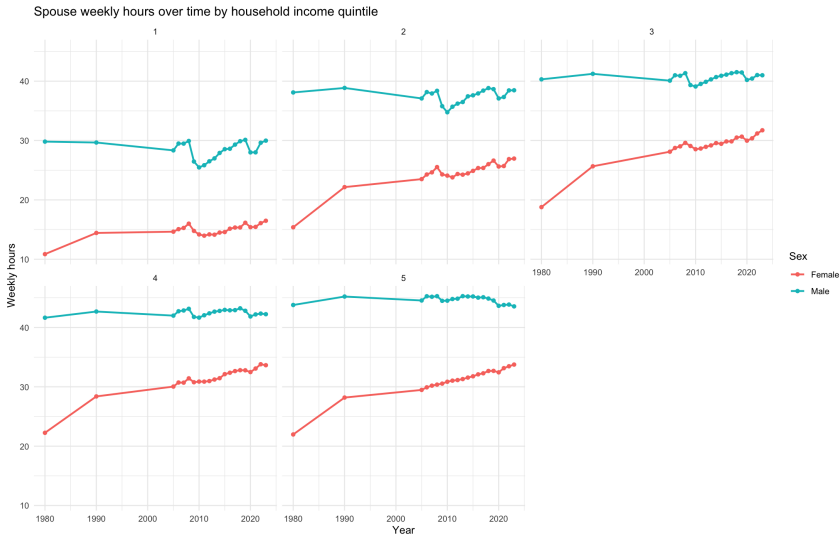
Data: Share (%) of spousal contribution to HH wage income



Data: Spousal income by HH quintile



Data: Weekly hours by spouse over time by HH quintile



4. Evidence



Male norms

Recent economic literature has examined broadly the impact of gender norms, particularly **male gender norms** on economic behaviors. Masculinity norms seem to persist when the sex-ratio favors men (Baranov et al 2023).²

American frontier counties have been the site of strikingly persistent gender norms, reinforced by both men and women, transmitting to individuals through generations (Bazzi et al 2024).³

Relative income between men and women affect marriage matches, labor choices, and self-reported happiness (Bertrand et al 2015).

²The paper suggests, "Restrictive masculinity norms then impose constraints on occupational choice that may be economically inefficient if they increase search costs, misallocate talent, and lead to sectoral staff shortages."

³Even when women had more time, they substitute towards more home work, not employment.
March 4, 2026

5. Mechanism

Model approach 1: joint utility maximization

- Households have two working individuals (male and female) who both have the option of searching for and undertaking work hours
- The household *jointly optimizes utility*, where both male and female income are combined to consume, save and invest
- There are two ways of modeling the gender role norm:
 - Opt. a Weak constraint such that male earnings $\geq$ female earnings
 - Opt. b $norm_t$ enters the utility, such that it remains at zero when male earnings $\geq$ female earnings, but then is negatively wrt utility when $\frac{female\ earnings}{male\ earnings} > 1 \rightarrow$ it is a disutility
- Households need to optimize with respect to their preferences on gender balance in earnings, $norm_t$, and all else remains the same in value function set up

Model approach 2: joint search probabilities

- Households have two working individuals (male and female) who both have the option of searching for and undertaking work hours
- The household optimizes their choices with a *joint search* function, where men and women choose to search based on the other's effort function
- Within effort, we consider *search cost* including outside options. Women's outside option for domestic work is **higher** due to men's cap on domestic work hours
- Spouses within marriages come with fixed parameters, importantly education and wealth
- This approach departs from the identity economic theory and instead uses a joint probability with costs reflecting persistent gender norms